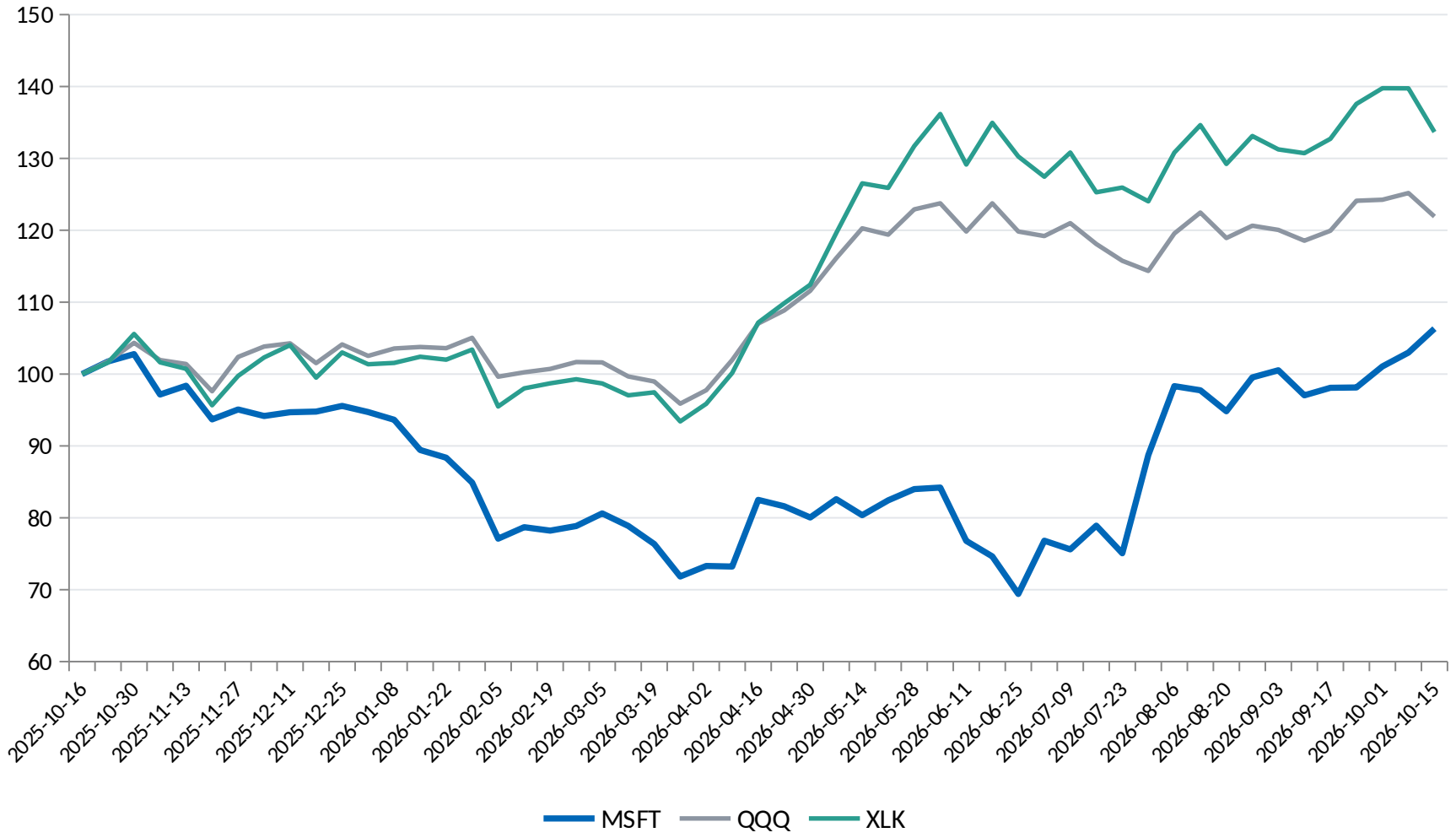
Microsoft: 1-Year Stock Performance and Fundamentals

MSFT vs. QQQ vs. XLK, 2025-10-16 to 2026-10-15 | Fundamentals through FQ4'26 (quarter ended 2026-06-30)

USD millions unless noted. Prices as of 2026-10-15 close. Sources: stockanalysis.com price history and financial statements.

MSFT lagged badly: +6.3% total return vs. +21.9% QQQ and +33.7% XLK

1-year total return, weekly (Thursday closes), indexed to 100 on 2025-10-16; dividends reinvested via adjusted closes



1-yr total return

MSFT +6.3%

QQQ +21.9%

XLK +33.7%

MSFT trough: 69.4 on 2026-06-25 (-30.6% from start)

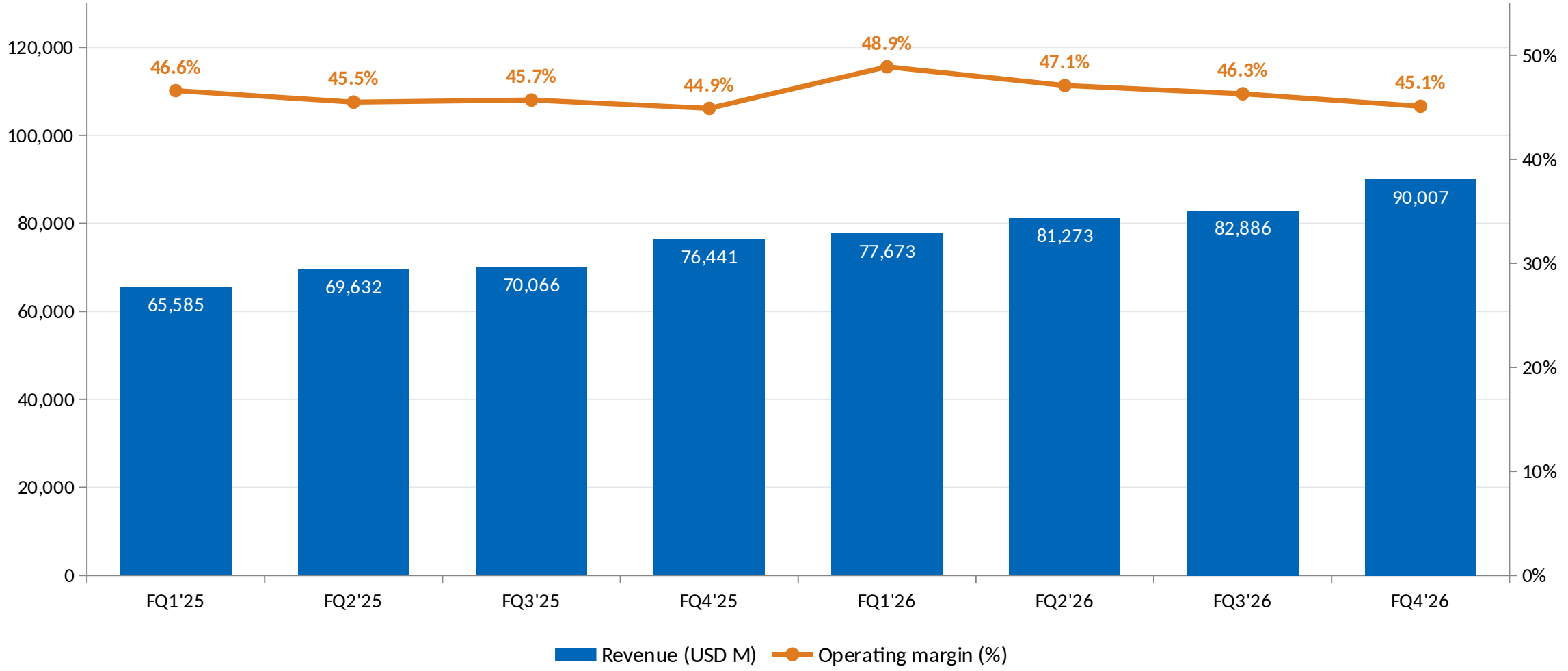
Rebound followed the late-July FQ4'26 report.

53 weekly points per series.

Source: stockanalysis.com daily close and dividend-adjusted close, sampled at each Thursday close (prior trading day if holiday). Period 2025-10-16 to 2026-10-15.

FQ4'26 revenue $90,007M (+17.7% YoY); margin steady at 44.9-48.9%

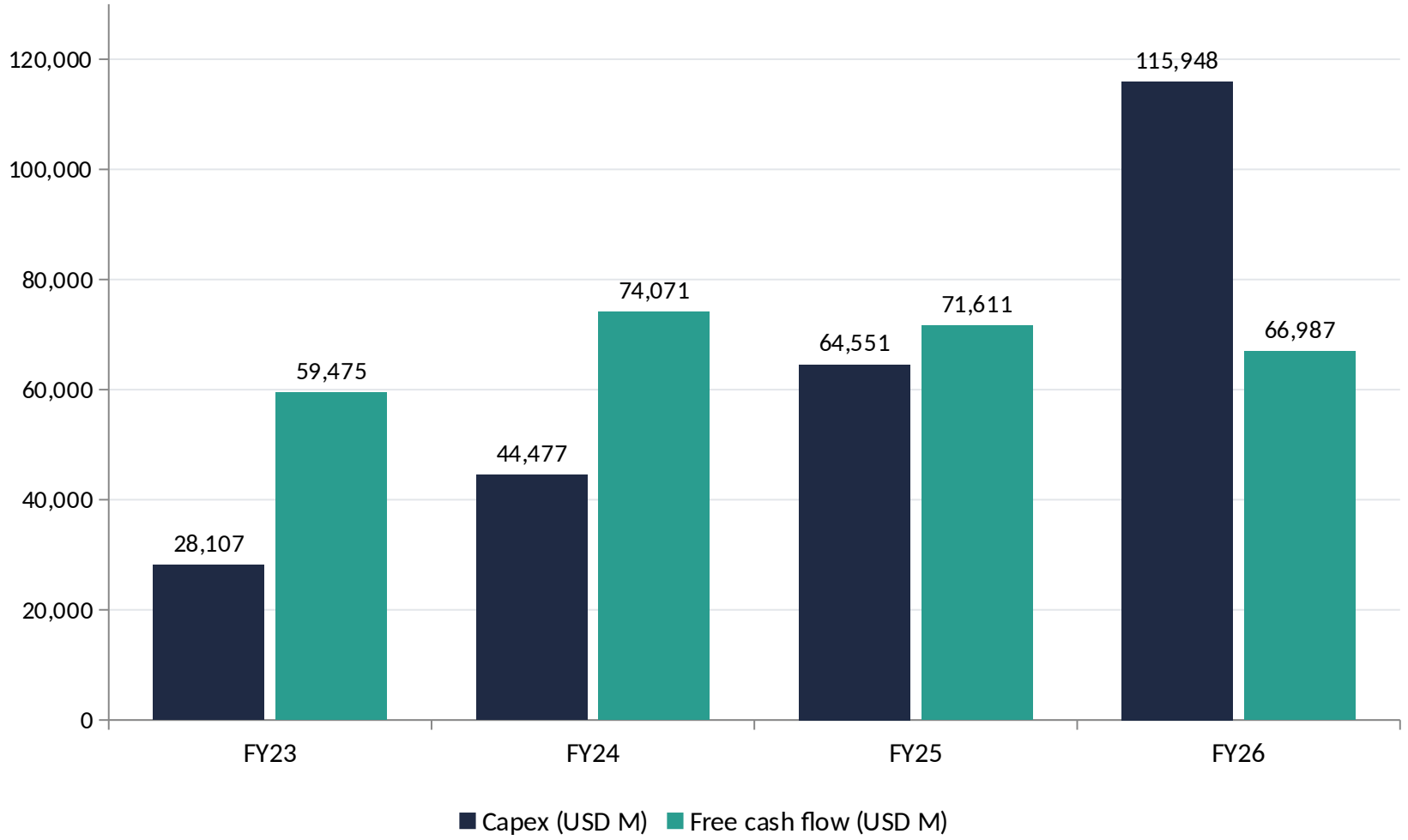
Quarterly revenue (USD millions, bars, left axis) and operating margin (%, line, right axis); fiscal year ends June 30



Source: Microsoft quarterly income statements via stockanalysis.com (revenue, operating income); margin = operating income / revenue. FQ1'25 = quarter ended 2024-09-30.

FY26 capex +79.6% to $115,948M; FCF down 6.5% to $66,987M

Capital expenditures and free cash flow by fiscal year (USD millions); FY ends June 30



Operating cash flow (USD M)

FY23: 87,582

FY24: 118,548

FY25: 136,162

FY26: 182,935

Capex / OCF

FY23: 32.1%

FY24: 37.5%

FY25: 47.4%

FY26: 63.4%

Source: Microsoft cash flow statements via stockanalysis.com. Capex = additions to property and equipment (excludes finance leases). FCF = operating cash flow - capex.

Key takeaways: strong operations, but the market is pricing the capex bill

- Stock: MSFT returned +6.3% (2025-10-16 to 2026-10-15), trailing QQQ (+21.9%) by 15.6 pts and XLK (+33.7%) by 27.4 pts.
- Drawdown: MSFT fell to 69.4 on the index (-30.6%) by 2026-06-25, then rallied after FQ4'26 results; QQQ and XLK never fell more than 4.1% and 6.6% below their start.
- Growth: FY26 revenue $331,839M (+17.8% YoY); FQ4'26 revenue $90,007M (+17.7% YoY).
- Profitability: FY26 operating margin 46.8% vs. 45.6% in FY25; quarterly margin peaked at 48.9% (FQ1'26) and was 45.1% in FQ4'26.
- Investment: capex rose from $28,107M (FY23) to $115,948M (FY26), 4.1x; FY26 capex was 63.4% of operating cash flow.
- Cash: FCF fell for a second year to $66,987M in FY26 (-6.5%), even as operating cash flow grew 34.4%. Watch FQ1'27 results (late 2026-10) for capex guidance.

Sources: stockanalysis.com price history (adjusted closes) and Microsoft financial statements. Figures in USD millions; percentages to one decimal place.